26STCV05567 26STCV05567

County: los-angeles

Division: Civil Law and Motion

Department: 516

Hearing date: 2026-07-10

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C516%2C07%2F10%2F2026

Source SHA-256: 8bd23008e47a9e91f7255e1387982badb331a9177525b35463f370dbb26cbf71

Case Number: 26STCV05567 Hearing Date: July 10, 2026 Dept: 516

Judge James I. Montgomery

Department 516

Hearing Date: July 10, 2026

Case Name: Food Camp Corporation v.
Orion Corporation, et al.

Case No.: 26STCV05567 Matter: Motion to Compel Arbitration and Stay Proceedings

Moving
Party: Defendants Orion
F&B U.S. Inc. and Orion Corporation

Responding Party: Plaintiff Food Camp Corporation

Tentative
Ruling: Defendants Orion F&B
U.S. Inc. and Orion Corporation's motion
is denied.

Plaintiff Food Camp Corporation ("Plaintiff") brought this action against Defendants Orion F&B U.S. Inc. ("F&B") and Orion Corporation ("Orion Corp.") (collectively, "Defendants"). The Complaint alleges three causes of action for: (1) breach of contract; (2) breach of contract; and (3) tortious interference.

Defendant moves to compel arbitration of Plaintiff’s claims pursuant to the arbitration agreement under the Product Supply (Export) Agreement (“PSA”). Plaintiff opposes.

Legal Standard

Under both the Federal Arbitration Act and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) Code of Civil Procedure section 1281.2 authorizes the court to order arbitration of a case if it finds the parties agreed to arbitrate that dispute, “and that a party to the agreement refuses to arbitrate that controversy.” (Code Civ. Proc., § 1281.2, subd. (a).) Arbitration agreements should be liberally interpreted and ordered unless the agreement clearly does not apply to the dispute in question. (Weeks v. Crow (1980) 113 Cal.App.3d 350, 353; Segal v. Silberstein (2007) 156 Cal.App.4th 627, 633.)

The party moving to compel arbitration has the initial burden to (1) affirmatively admit and allege the existence of a written arbitration agreement, and (2) prove the existence of that agreement by a preponderance of the evidence. (Rosenthal v. Great W. Fin. Sec. Corp, 14 Cal. 4th 394, 413.) Once this is met, the burden shifts to the responding party to prove that the agreement is unenforceable by a preponderance of the evidence. (Ibid.)

“‘Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute.’” (California Correctional Peace Officers Assn. v. State¿(2006) 142 Cal.App.4th 198, 205.)

Evidentiary Objections

Defendants
make 16 evidentiary objections to Nackhyun Kim's Declaration. The Court rules in the following manner:

Sustained: 1
(Parol Evidence), 2 (Parol Evidence/Hearsay), 3 (Hearsay), 6 (Hearsay),

8 (Hearsay), 9 (Parol Evidence/Hearsay), 10
(Parol Evidence), 11 (Parol Evidence/Hearsay), 12 (Parol Evidence), 13
(Parol Evidence/Improper Lay Opinion), 14 (Hearsay)/Speculation, 16
(Improper Lay Opinion/Legal Conclusion)

Overruled: 4,
7, 15

Analysis

Defendants
move to compel arbitration of Plaintiff's claims against them and stay the matter pending arbitration.

Existence
of a Valid Agreement

Defendants
contend that the arbitration provision found in the PSA is the controlling agreement between the parties. Defendants contend that in 2017, Plaintiff and Orion Corp. entered into a written agreement for supply and distribution. (Yang Decl., ¶ 3, Ex. A.) Article 2 of the PSA states that:

(Continuous Transaction) The Supplier
shall sell products manufactured by the Supplier to the Buyer under the terms and conditions set forth in this Agreement, and the Buyer shall purchase the said products and continuously sell them. The Buyer's purchase and sale of products shall be conducted non-exclusively and on a non exclusionary basis, and under no circumstances shall this Agreement be construed as granting the Buyer an exclusive sales rights in any region. Product name, price, and quantity of frequently traded products shall be specified in separate Purchase Orders.

(Yang Decl., Ex. A, art. 2 (emphasis added).)

The PSA also states:

Article 10 (Confidentiality) Each party
shall keep confidential any information disclosed by the other party as necessary for the performance of its duties under this Agreement and shall not disclose such information to any third party. After the termination of this Agreement, neither party shall use any confidential information disclosed during the term of this Agreement.

Article 11 (Term of the Agreement) The
validity period of this Agreement shall be from January 1, 2017 to December 31, 2017. Unless otherwise agreed upon by the parties 30 days prior to the expiration of this Agreement, this Agreement shall be automatically extended for one year thereafter.

.
. .

Article 16 (Supersession of Prior
Agreements) This Agreement shall supersede all prior agreements.

Article 17 (Governing Laws) The
governing laws for this Agreement and all matters relating thereto including its validity, interpretation and performance shall be the laws of the Republic of Korea.

Article 18 (Arbitration) In the
event of any dispute between the parties arising out of interpretation, or breach of this Agreement, the parties shall endeavor to resolve such dispute amicably through mutual agreement, but if such resolution cannot be reached, the dispute shall be resolved through arbitration process pursuant to the arbitration rules of the Korean Commercial Arbitration Board. The decision rendered by the arbitrator shall be final and binding upon both parties.

(Yang Decl., Ex. A, art. 10-11, 16-18 (emphasis added).)

In

opposition, Plaintiff contends that the operative agreement between the parties is the Exclusive Agreement signed in 2020, which lacks an arbitration provision. The 2020 Agreement ("2020 Agreement") states that:

The Supplier, Orion Corporation, manufactures and sells confectionary products worldwide. The distributor. FoodCamp/WeFARm, wants to purchase these confectionary items for resale in the Western half of the United States of America, defined as all states west of Chicago, Illinois, including Chicago. Examples of Orion products include "Checo Pie, Banana Checo Pie, Chaco Boy, Gosomi, Market O" along with any other products produced by Orion.

.
. .

The Parties agree not to disclose, reveal or make use of any information during discussion or observation regarding methods, concepts, ideas, product/services, or proposed new products or services. nor to do business with any of the revealed contacts without the written consent of the introducing party or parties.

The parties will construe THIS AGREEMENT in accordance with the laws of the State of California, County of Los Angeles. If any provision of this agreement is found to be void by any court of competent jurisdiction, the remaining provisions will remain in force and effect.

(Kim Decl., Ex. A.)

"Given that arbitration agreements are simply contracts, "'[t]he first principle that underscores all of our arbitration decisions' is that '[a]rbitration is strictly a matter of consent.'" [Citations.] some alterations in original). Arbitration is "a way to resolve those disputes—but only those disputes—that the parties have agreed to submit to arbitration." (Coinbase, Inc. v. Suski (2024) 602 U.S. 143, 148 (Coinbase).) The parties "can also 'agree by contract that an arbitrator, rather than a court, will resolve threshold arbitrability questions as well as underlying merits disputes.'" (Ibid.)

Plaintiff

argues that because there are two agreements in dispute, the Court must determine arbitrability. The Court agrees. As stated in Coinbase, the Court, not the arbitrator, “must decide whether the parties’ first agreement was superseded by their second [agreement].” (Coinbase, supra, 602 U.S. at p. 152.)

Plaintiff contends that its claims are based solely under the terms of the 2020 Agreement. The Complaint alleges that Defendants have breached the 2020 Agreement by allowing other distributors to sell Orion products to retailers covered by the 2020 Agreement. (Compl., ¶¶ 6, 29.) However, both agreements are in direct contradiction to each other.

“A contract containing a forum selection clause supersedes an arbitration agreement where “the forum selection clause[ ] ... sufficiently demonstrate[s] the parties' intent to do so.” [Citation.] Under California law, “‘[t]he general rule is that when parties enter into a second contract dealing with the same subject matter as their first contract without stating whether the second contract operates to discharge or substitute for the first contract, the two contracts must be interpreted together and the latter contract prevails to the extent they are inconsistent.’”

Suski v. Coinbase, Inc. (9th Cir. 2022) 55 F.4th 1227, 1230, aff'd (2024) 602 U.S. 143 (citation omitted) (Suski).)

The 2020 Agreement states that:

The parties will construe THIS AGREEMENT in accordance with the laws of the State of California, County of Los Angeles. If any provision of this agreement is found to be void by any court of competent jurisdiction, the remaining provisions will remain in force and effect.

(Kim Decl., Ex. A.)

While Defendants argue that the PSA and the 2020 Agreement must be read together. The Court is not persuaded by Defendants’ argument. Defendants argue that pursuant to Silva and Civil Code section 1642 the two documents must be read together. The Court is not persuaded by Defendants' position.

"Civil Code section 1642 provides that "[s]everal contracts relating to the same matters, between the same parties, and made as parts of substantially one transaction, are to be taken together." (Silva v. Cross Country Healthcare, Inc. (2025) 111 Cal.App.5th 1311, 1322 (Silva).) "Sometimes, the parties explicitly state their intent that multiple contracts are to be read together [Citation.]; other times, courts may infer that intent by looking to "extrinsic evidence" of the circumstances enumerated in section 1642 [Citations.] ["it [is] unnecessary for either instrument to refer to the other"]). Because the existence or nonexistence of these circumstances is generally a factual question, we review a trial court's finding that section 1642 applies for substantial evidence. (Ibid.)

While the evidence before the Court supports the finding that the same parties, Plaintiff and Orion Corp., are parties to the agreements, and in relation to the exclusivity and non-exclusivity of the products, the agreements do not appear to be made "substantially one transaction." In Silva, the court found that an arbitration agreement and an employment agreement were part of the hiring process. (Silva, supra, 111 Cal.App.5th at p. 1322.) Unlike the Agreements in this case, the PSA was signed in 2017, while the 2020 Agreement was signed in 2020. (Yang Decl., ¶ 3; Kim Decl., Ex. A.) Defendants argue that, because the PSA was still in effect in 2020, the agreements should be read as a single agreement. However, Defendants do not present any legal authority to support this claim. Thus, the evidence before the Court supports the finding that the Agreements cannot be read together as one transaction.

Moreover, Defendants contend that they "dispute the validity of the [2020 Agreement]," and raise the issue but then argue that the 2020 Agreement functions as an amendment and do not make a further argument as to the validity of the 2020 Agreement. (See Mot., 8:7-22.) The burden is on Defendants to argue the validity of the 2020 Agreement; their motion concedes the validity by arguing that it "functions as an amendment" to the PSA.

Thus, the controlling agreement subject to the dispute is the 2020 Agreement, not the

PSA.

While
Defendants argue that the PSA delegates arbitrability of interpretation or breach of the PSA to an arbitrator, as addressed in this ruling, the limited scope of the PSA does not apply to the Plaintiff's claims. Thus, the issue of whether the parties agreed to delegate arbitrability to an arbitrator does not impact the Court's determination. Because the Court has determined that the 2020 Agreement is the controlling agreement and the agreement does not contain an arbitration provision, the Court denies Defendants' motion to compel arbitration.

Therefore,
Defendants' motion to compel arbitration is denied.

Stay of
Proceedings

Code of
Civil Procedure section 1281.4 provides that if the court has ordered the arbitration of a controversy, it "shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies."¿ (Code Civ. Proc., § 1281.4.)

¿

Thus, the court denies Defendants' motion to stay the proceedings.

Because the
motion to compel arbitration is denied, the Court will not address Defendants' arguments regarding the non-signatory F&B.

Conclusion

Defendants'
motion to compel arbitration is denied in its entirety.